



HSS C013 (Social & Business Etiquette)

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What will be covered today

- ❖ **Fostering Good Business Practices**
- ❖ **Avoiding Unfavorable Publicity**
- ❖ **Improving Corporate Ethics**
- ❖ **Appointing a Corporate Ethics Officer**
- ❖ **Ethical Standards Set by Board of Directors**
- ❖ **Establishing a Corporate Code of Ethics**

Fostering Good Business Practices

Good ethics means good business/improved profits



- ❖ Companies that produce safe and effective products avoid costly recalls and lawsuits.
- ❖ Companies that develop and maintain strong employee relations enjoy lower turnover rates and better employee morale.

Fostering Good Business Practices (Cont'd)



Suppliers/business partners place priority on working with companies that operate in a fair and ethical manner



Bad ethics means bad business/waning profits

- ✓ Bad ethics can lead to bad business results
- ✓ Bad ethics can have a negative impact on employees



Avoiding Unfavourable Publicity

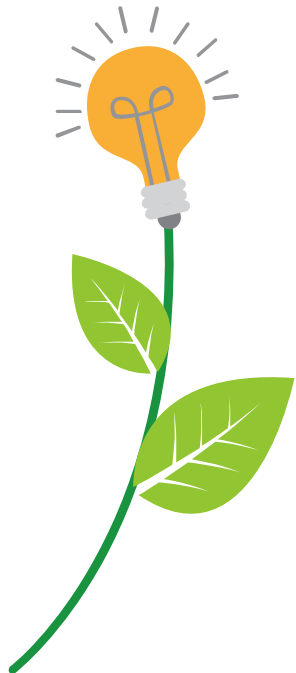
- ❖ Public reputation of company strongly influences:
 - ✓ Value of its stock
 - ✓ How consumers regard products and services
 - ✓ Degree of oversight received from government
 - ✓ Amount of support and cooperation received
- ❖ Organizations are motivated to build strong ethics programs **to avoid negative publicity**



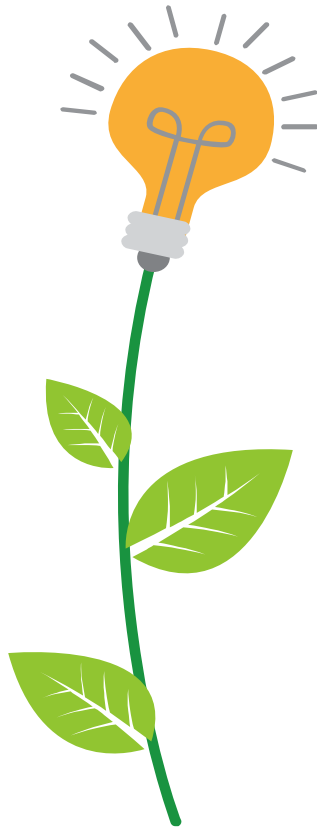
Improving Corporate Ethics

Characteristics of a successful ethics program

Employees willing to seek advice about ethical issues



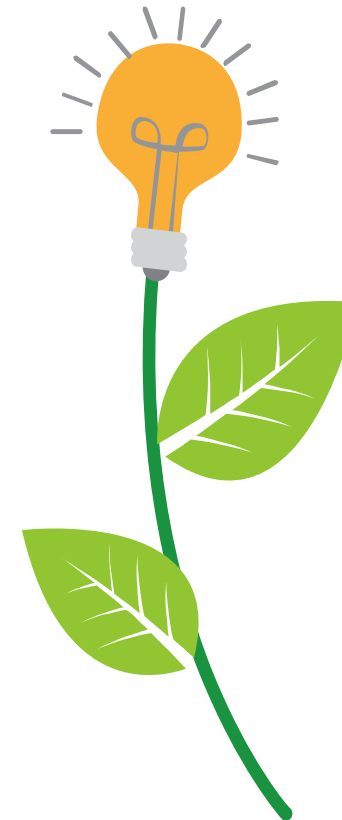
Employees feel prepared to handle situations that could lead to misconduct



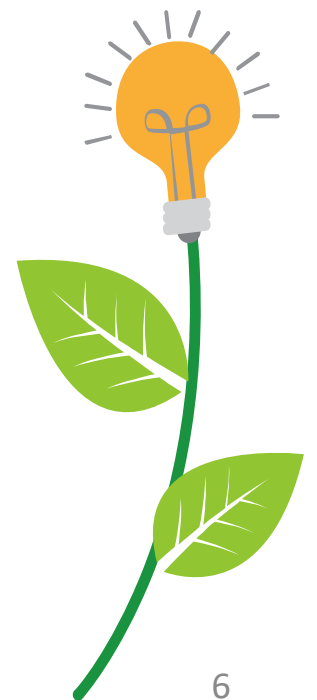
Employees are rewarded for ethical behavior



Employees are not rewarded for success obtained through questionable means



Employees feel positive about their company



Appointing a Corporate Ethics Officer



Corporate Ethics Officer

- ❖ A corporate ethics officer (also called a corporate compliance officer) provides an organization with **vision and leadership** in the area of business conduct.
- ❖ Should be a well-respected, senior-level manager who reports directly to the CEO.
- ❖ Specific responsibilities include the following:
 - ❖ ethical procedures are put into place and consistently adhered to throughout the organization
 - ❖ creating and maintaining the ethics culture that the highest level of corporate authority wishes to have
 - ❖ Responsibility for being a key knowledge and contact person on issues relating to corporate ethics and principles

Ethical Standards Set by Board of Directors



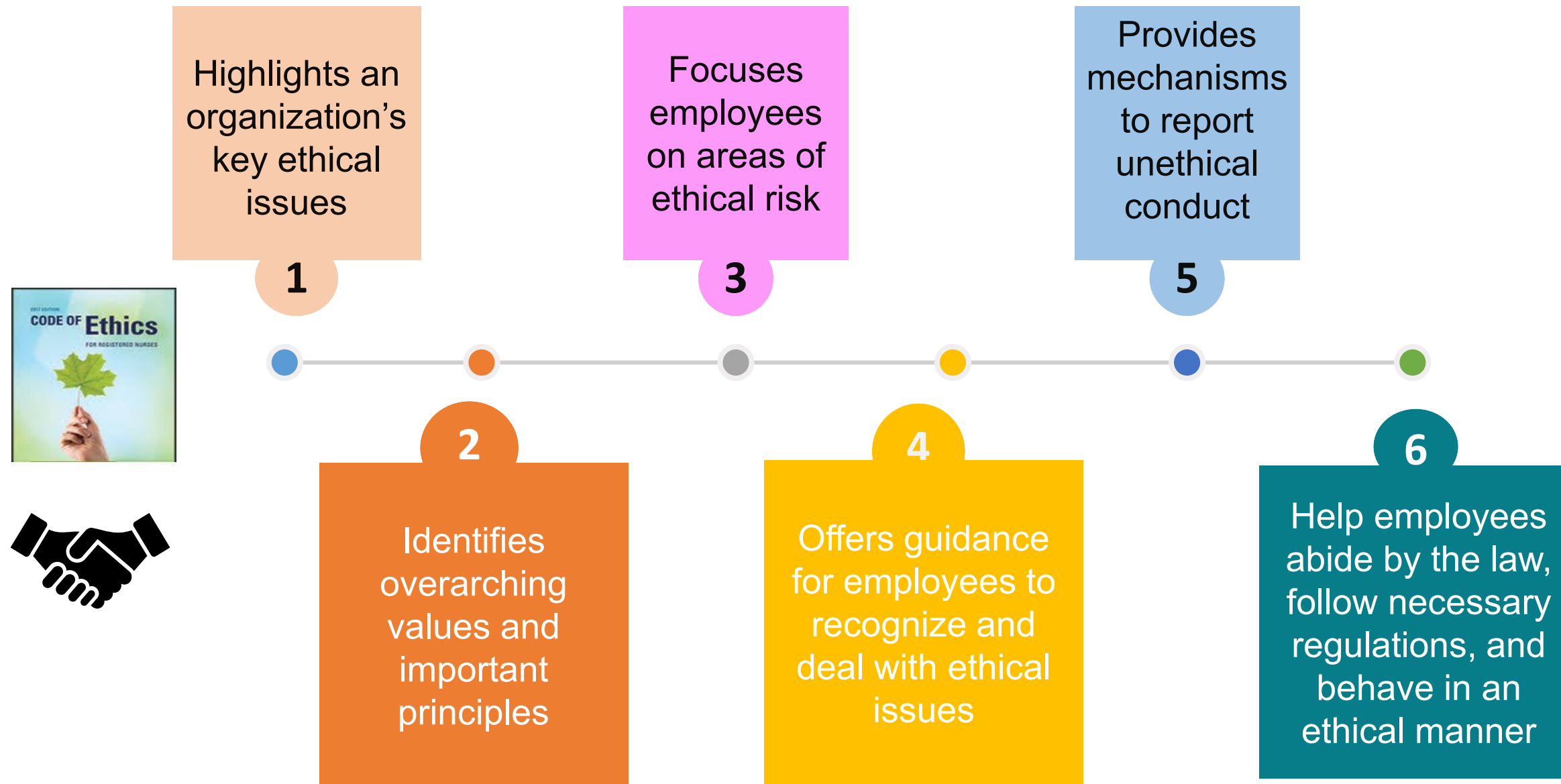
✓ **primary objective is to oversee the organization's business activities and management for the benefit of all stakeholders**



✓ **Board members of company are expected to:**

- conduct themselves according to the highest standards for personal and professional integrity, while setting the standard for company-wide ethical conduct and ensuring compliance with laws and regulations.
- create environment in which employees can seek advice about business conduct, raise issues, and report misconduct

Establishing a Corporate Code of Ethics



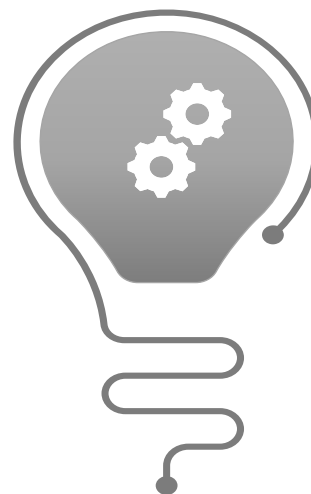
Establishing a Corporate Code of Ethics (Cont'd)



Intel
conducts
business
with honesty
and integrity



Intel follows
the letter
and spirit of
the law



Intel
employees
treat each
other fairly



Intel employees
act in the best
interests of intel
and avoid
conflicts of
interest



Intel
employees
protect the
company's
assets and
reputaion



Intel's five principles of conduct

Take-home Assignment #1

- ❖ Identify two important life experiences that helped you define your own personal code of ethics.
- ❖ Identify three CSR goals that would be appropriate for a large, multinational IT consulting firm. Create three such goals for a small, local IT consulting firm.



Line operation personnel can be appointed as corporate ethics officers.

A. True

B. False

False

****Line operation personnel** are involved in the day-to-day operations (e.g., production, sales).

Legal acts conform to what an individual believes to be the right thing to do.

A. True

B. False

False

*****Legal acts** are based on laws set by governments, which may not always align with an individual's **personal moral beliefs**.

Individual views on what is moral are so strongly held that there is nearly universal agreement in spite of differences in age, cultural group, ethnic background, religion, life experience, education, and gender.

A. True

B. False

False

Morality varies across societies and individuals — no matter how strongly someone believes in their moral views.

****Morality is subjective** and influenced by many factors like culture, religion, upbringing, education, etc. There is **no universal agreement** on what is moral.

Honesty, courage, compassion, integrity, fairness, and self-control are kinds of ***moral values*** or ***ethical principles***.

A. True

True

B. False

Vices are drinking alcohol, smoking tobacco, and gambling in card games.

A. True

True

B. False

One of the characteristics of a successful ethics program includes employees willing to seek ----- about ethical issues.

advice

Conducting Social Audits



Social Audit

- 1 **Reviews** how **well organization** is **meeting ethical** and **social responsibility goals**
- 2 Communicates **new goals** for **upcoming year**
- 3 **Shared broadly** with employees, shareholders, investors, market analysts, customers, suppliers, government agencies, and local communities



Social Audits Versus Financial Audits

Financial Audits	Social Audits
1. Compare documents for consistency 2. Conducted by government 3. Only reports, no accountability	1. Compare documents to reality 2. Conducted by communities 3. Accountability built into the process

Three primary areas

1. The environment

(global-warming emissions, energy consumption, water use, chemical and solid waste reduction)

2. Corporate governance

(goals to improve transparency and strengthen ethics and compliance reporting)

3. Social

(goals to improve the organizational health of the company)



Requiring Employees to Take Ethics Training

- **Personal convictions** improved through education
- Comprehensive ethics education program encourages employees to act responsibly and ethically
 - ✓ Often **presented** in **small workshop formats**
 - ✓ Employees **apply code of ethics** to hypothetical but **realistic case studies**
 - ✓ **Demonstration** of recent company decisions based on principles from the code of ethics

References

1. “Ethics in Information Technology” by George W. Reynolds, Fifth Edition
2. BOS Lectures
3. Images are from Google.